

—just one of the company’s many assets—for \$30 million. In other words, the gravel pit alone was worth more than what investors in 1976 paid for the whole company. Those investors got all the adjacent land, the 2,700 acres in Del Monte Forest and the Monterey Peninsula, the 300-year-old trees, the hotel, and the two golf courses for nothing.

Whereas Pebble Beach was an over-the-counter stock, Newhall Land and Farming was on the New York Stock Exchange and very visible while it went up well over twentyfold. The company had two significant properties: the Cowell Ranch in the San Francisco Bay area, and the much larger and more valuable Newhall Ranch, thirty miles north of downtown Los Angeles. The Newhall Ranch has a planned community complete with an amusement park, a large industrial-office complex, and it is developing a major shopping mall.

Hundreds of thousands of California commuters drive by the Newhall Ranch every day. Insurance appraisers, mortgage bankers, and real estate agents involved in the various Newhall deals certainly knew of the extent of Newhall’s holdings and of the general increase in California property values. How many people owned houses in the areas around the Newhall Ranch and saw the great escalation in land values, years ahead of any Wall Street analysts? How many of them considered researching this stock that has been a twenty-bagger from the early seventies and a fourbagger since 1980? If I’d lived in California, I wouldn’t have missed it. At least, I hope I wouldn’t have.

I once visited a mundane little Florida cattle company called Alico, run out of La Belle, a small town at the edge of the Everglades. All I saw there was scrub pine and palmetto brush, a few cows grazing around, and perhaps twenty Alico employees trying unsuccessfully to look busy. It wasn’t very exciting, until you figured out that you could have bought Alico for under \$20 a share, and ten years later the land alone turned out to be worth more than \$200 a share. A smart codger named Ben Hill Griffin, Jr., kept buying up the stock and waiting for Wall Street to notice Alico. He must have made a fortune by now.

Many of the publicly traded railroads such as Burlington Northern, Union Pacific, and Santa Fe Southern Pacific are land rich, dating back to the nineteenth century when the government gave away half the country as a sop to the railroad tycoons. These companies have the oil and gas rights, the mineral rights, and the timber rights as well.

There are asset plays in metals and in oil, in newspapers and in TV stations, in patented drugs and even sometimes in a company’s losses. That’s what happened with Penn Central. After it came out of bankruptcy, Penn Central had a huge tax-loss carryforward, which meant that when it started making money again, it wouldn’t have to pay taxes. In those years the corporate tax rate was 50 percent, so Penn Central was reborn with a 50 percent advantage up front.